

THE LANDRY SYSTEM — ETF SLEEVE REPORT

As of October 8, 2026 | LANDRY_SYSTEM_WORKBOOK_25.xlsx | read-only: nothing here is written to the workbook

At a glance

- The sleeve is 10 ETFs, \$321.5K = 45.1% of the \$712.6K portfolio (direct stocks 48.0%, cash and other 6.9%); weighted expense ratio 0.35% a year.
- AVUV, VFLO, VYM, DVY, SCHD, JEPI behave as one bet: 22.6% of the portfolio, average correlation 0.81, 14.1% of its variance -- over Rule 38's 20% cluster cap.
- JEPQ, NVDA, HELO, SPMO behave as one bet: 22.3% of the portfolio, average correlation 0.80, 27.1% of its variance -- over Rule 38's 20% cluster cap.
- Direct stocks are 48.0% of the portfolio but 74.5% of its variance; the sleeve is 45.1% of weight and 25.5% of variance. Portfolio volatility 15.6% against SPY's 14.3%, beta 1.03, about 9.5 effective independent bets (first component 42%).
- Semiconductor names: 16.2% directly plus at least 3.8% through ETF top-10 lists = 20.0% of the portfolio.
- Most efficient diversifiers tested (move 7% of the portfolio into each, change in volatility): BIL (T-bills (cash-like)) -1.2 pts, AGG (US aggregate bonds) -1.1 pts, TLT (long Treasuries) -1.1 pts, XLP (Consumer Staples) -1.0 pts. The sleeve holds no bonds and no international.

The sleeve

ETF	\$K	% port.	Category	Cost	Yield	Beta	Down	Unreal. \$K
JEPQ	51.9	7.3%	Derivative Income	0.35%	11.1%	0.93	0.98	+8.9
MLPI	51.2	7.2%	Energy Limited Partnership	0.68%	n/a	-0.71†	-0.95†	-2.5
AVUV	48.0	6.7%	Small Value	0.25%	1.3%	0.89	1.00	+2.9
HELO	34.7	4.9%	Equity Hedged	0.50%	0.6%	0.52	0.53	+4.0
VFLO	33.8	4.7%	Mid-Cap Value	0.39%	1.0%	0.76	0.86	-0.5
VYM	23.5	3.3%	Large Value	0.04%	2.4%	0.69	0.70	-1.1
DVY	23.0	3.2%	Mid-Cap Value	0.38%	3.5%	0.50	0.46	-1.6
SCHD	22.9	3.2%	Large Value	0.06%	3.2%	0.52	0.68	-1.5
SPMO	22.5	3.2%	Large Blend	0.13%	0.7%	1.28	1.21	+2.9
JEPI	10.1	1.4%	Derivative Income	0.35%	8.2%	0.54	0.57	-0.4
Total	321.5	45.1%						+11.1

Cost = expense ratio; Down = share of the benchmark's worst 10% of weeks the fund also lost (beta and Down use the last three years where the fund is old enough). † MLPI: 42 weeks of history -- less reliable.

What the sleeve is made of

Members (average correlation at least 0.70)	% of portfolio	Avg corr	% of variance	20% cap
AVUV, VFLO, VYM, DVY, SCHD, JEPI	22.6%	0.81	14.1%	OVER
JEPQ, NVDA, HELO, SPMO	22.3%	0.80	27.1%	OVER
KLAC, ASML	4.7%	0.78	8.2%	under

Fama-French five factors plus momentum, monthly returns, up to 60 months; t-statistics in brackets ($|t|$ above 2 is distinguishable from noise). SMB = size, HML = value, RMW = profitability, CMA = low investment, MOM = momentum.

	MKT	SMB	HML	RMW	CMA	MOM	R ²
DVY	+0.77	+0.22 [+2.7]	+0.43 [+5.1]	+0.16 [+2.3]	+0.33 [+3.1]	-0.07 [-1.3]	0.89
VFLO	+0.97	-0.09 [-0.4]	+0.40 [+1.6]	-0.18 [-1.1]	+0.02 [+0.1]	-0.53 [-3.9]	0.71
SCHD	+0.77	+0.21 [+2.0]	+0.30 [+2.8]	+0.28 [+3.1]	+0.29 [+2.2]	-0.06 [-0.8]	0.82
VYM	+0.83	+0.07 [+1.4]	+0.32 [+5.9]	+0.17 [+3.7]	+0.25 [+3.6]	+0.02 [+0.5]	0.95
SPMO	+1.15	-0.18 [-1.6]	+0.02 [+0.2]	-0.30 [-3.0]	+0.19 [+1.3]	+0.51 [+7.0]	0.89
JEPQ	+0.81	-0.16 [-1.8]	-0.18 [-1.9]	-0.08 [-1.1]	-0.02 [-0.2]	+0.01 [+0.1]	0.90
AVUV	+1.04	+0.90 [+14.2]	+0.50 [+7.7]	+0.18 [+3.3]	+0.03 [+0.4]	+0.01 [+0.3]	0.97
HELO	+0.60	-0.06 [-1.2]	-0.01 [-0.2]	+0.17 [+4.5]	+0.04 [+0.6]	+0.03 [+0.9]	0.94
JEPI	+0.58	+0.08 [+1.2]	-0.04 [-0.5]	+0.26 [+4.4]	+0.26 [+3.0]	+0.03 [+0.8]	0.83
BOOK	+1.29	-0.34 [-2.2]	-0.43 [-2.7]	-0.17 [-1.3]	-0.17 [-0.8]	-0.07 [-0.7]	0.87

BOOK = today's directly held stocks at constant weights looked back (hindsight, so read its loadings, not its alpha): the sleeve leans value / small / low-investment and the book leans growth.

Look-through and overlap

Sector (share of invested equity)	Direct	ETFs	Total	SPY	Active, pts
Technology	29.5%	12.6%	42.1%	40.5%	+1.7
Healthcare	9.2%	3.9%	13.1%	9.3%	+3.9
Energy	0.0%	11.3%	11.3%	3.4%	+7.9
Financial Services	2.7%	4.9%	7.7%	11.2%	-3.5
Industrials	4.6%	2.9%	7.5%	7.5%	-0.0
Communication Services	3.0%	2.9%	6.0%	10.0%	-4.0
Consumer Cyclical	0.0%	4.1%	4.1%	8.7%	-4.6
Consumer Defensive	0.0%	2.7%	2.7%	4.3%	-1.6
Real Estate	2.4%	0.3%	2.7%	1.7%	+1.0
Utilities	0.0%	1.8%	1.8%	1.9%	-0.1
Basic Materials	0.0%	1.0%	1.0%	1.6%	-0.5

Names held directly and through ETF top-10 lists (\$K; a lower bound)

Name	Direct	Via ETFs	% of portfolio	Through
NVDA	50.1	7.1	8.0%	JEPQ 3.8, HELO 3.1, JEPI 0.2
ADBE	15.4	1.2	2.3%	VFLO 1.2
AVGO	12.5	2.6	2.1%	VYM 1.6, HELO 0.9
MU	7.5	6.9	2.0%	JEPQ 2.6, SPMO 2.1, VFLO 1.5, HELO 0.7
AAPL	0.0	8.0	1.1%	JEPQ 3.3, HELO 2.4, SPMO 2.0, JEPI 0.2
GOOGL	0.0	6.4	0.9%	JEPQ 2.4, SPMO 2.0, HELO 1.9, JEPI 0.2
MSFT	0.0	5.1	0.7%	JEPQ 2.7, HELO 2.2, JEPI 0.2
ENB.TO	0.0	4.9	0.7%	MLPI 4.9

Where the risk is

Group	Weight	Share of variance
AVUV, VFLO, VYM, DVY, SCHD, JEPI	22.6%	14.1%
JEPQ, NVDA, HELO, SPMO	22.3%	27.1%
KLAC, ASML	4.7%	8.2%
Direct stocks (all)	48.0%	74.5%
ETF sleeve (all)	45.1%	25.5%

Portfolio volatility 15.6% against SPY's 14.3%; beta 1.03; about 9.5 effective independent bets; the first principal component explains 42% of the correlation structure.

What is missing

Candidate (move 7% of the portfolio into it)	Correlation with portfolio	Change in volatility	Beta after
BIL T-bills (cash-like)	0.08	-1.18 pts	0.95
AGG US aggregate bonds	0.17	-1.11 pts	0.96
TLT long Treasuries	0.10	-1.05 pts	0.96
XLP Consumer Staples	0.24	-0.97 pts	0.97
GLD gold	0.12	-0.96 pts	0.97
XLU Utilities	0.24	-0.88 pts	0.97
XLV Health Care	0.40	-0.73 pts	0.98
USMV minimum-volatility equities	0.70	-0.68 pts	0.99
RSP equal-weight S&P 500	0.80	-0.43 pts	1.01
VXUS international ex-US	0.72	-0.42 pts	1.01
XLF Financials	0.67	-0.39 pts	1.01
XLC Communication Services	0.73	-0.34 pts	1.02
QUAL quality factor	0.93	-0.27 pts	1.02
XLY Consumer Discretionary	0.77	-0.11 pts	1.03

The sleeve holds no bonds and no international. These are three-year weekly correlations from one bull market; bond and defensive correlations can change sign.

Rules the sleeve touches

- Rule 38 groups (average pairwise correlation at least 0.70): AVUV, VFLO, VYM, DVY, SCHD, JEPI = 22.6% of the portfolio (average correlation 0.81) -- OVER the 20% cluster cap.
- Rule 38 groups (average pairwise correlation at least 0.70): JEPQ, NVDA, HELO, SPMO = 22.3% of the portfolio (average correlation 0.80) -- OVER the 20% cluster cap. ETFs in it: JEPQ, HELO, SPMO.
- Rule 38 groups (average pairwise correlation at least 0.70): KLAC, ASML = 4.7% of the portfolio (average correlation 0.78) -- under the 20% cluster cap.
- Part 5 cash band 5%-15%: cash and equivalents are 6.9% if the ETFs count as invested equity, 52.0% if they count as cash -- the workbook's Cash / Cash Equivalents aggregate counts them as cash.
- Rule 16 sector cap 25% (market value, direct holdings): the largest is Technology at 27.5% of the portfolio; with the ETFs looked through Technology is 39.2%.
- Funding order today is SPMO first; ranked by correlation to the direct stock book the sleeve reads JEPQ 0.89, SPMO 0.87, HELO 0.86, JEPI 0.68, VYM 0.62, VFLO 0.57, AVUV 0.50, SCHD 0.40, DVY 0.34, MLPI -0.53 (the highest duplicate the book most).

Open design questions (Open Items #7)

1. Role: is the sleeve a reservoir to draw down into single stocks, a permanent core allocation with its own target weight, or both?
2. Classification: do ETFs count as cash for Part 5's 5-15% band, and does the 25% sector cap use look-through?
3. Ballast: which exposures should ETFs supply -- defensive sectors, bonds, gold, international -- now that Rule 12 screens out low-growth defensive single names?
4. Selection rules: a cost cap, a size and liquidity floor, and no overlap with direct holdings?
5. Caps and funding: per-ETF and per-cluster caps (Rule 38), and a draw-down order by correlation to the direct book rather than a fixed SPMO-first?
6. Scoring: a light ETF scorecard (cost, diversification contribution, drawdown behaviour) in place of Part 12 scoring?

Method and limits

- factor data run through 2026-08-31
- 156 weekly returns (three years where the fund is old enough); prices are dividend-adjusted closes; top-10 holdings only, so overlap and semiconductor figures are lower bounds; candidate tests use a bull-market window and bond or defensive correlations can flip